A PRACTICAL GUIDE FOR INDIAN HOMEOWNERS

The Indian Homestay & Airbnb Host Playbook

2026-27

Start, licence and run paying guest rooms in your own home - legally, and at a profit you can calculate before you spend a rupee.

Inside: state registration and the six-room rule | GST at Rs. 7,500 a night | Form III in 24 hours | FSSAI at Rs. 100 | MUDRA and state subsidies | the 15.5 per cent platform fee | 12 templates

47 chapters | 12 templates | worksheets | one-page reference

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Read this first

This book is for one person: an Indian homeowner with two to four spare rooms and a decision to make. Do I let them out to strangers, and if I do, how do I stay out of trouble?

Every chapter answers a question that costs money if you get it wrong. What does a three-room property actually earn after the platform takes its cut? Which licence is mandatory and which one is a plaque on the wall? What happens if a French couple checks in on Tuesday and you never filed the form? Those answers are here, with the official source named, because the rules changed sharply in the last eighteen months.

Three changes make the timing useful. The Immigration and Foreigners Act, 2025 came into force on 1 September 2025 and put a 24-hour reporting duty on anyone who hosts a foreign guest commercially, with a compounding penalty of Rs. 50,000 per case. The Income-tax Act, 2025 replaced the 1961 Act on 1 April 2026, so the presumptive scheme your accountant still calls 44AD is now Section 58. And GST on accommodation below Rs. 7,500 a night has been 5 per cent without input credit since 22 September 2025, which changes what you charge and how you show it.

What this book will not do

It will not tell you that a homestay is passive income. It is a small hotel with your family living in it. At 55 per cent occupancy on three rooms you are looking at roughly 600 guest-nights a year, and every one of them needs a clean room, hot water and a reply within the hour. If you want a business you can leave for a month, hire a manager and read Chapter 2 before you do.

It will not quote a rate as if it were a law. Where a number is a market range - what a mattress costs, what a cleaner charges - it is labelled as a range and you should re-quote it in your own town. Where a number is legal - a fee, a threshold, a penalty - it is sourced, and the source is listed in Chapter 31 so you can check it before you act. Rules change; this edition reflects the position as published in November 2026.

How to use it

Read Chapters 1 to 6 before you spend anything. They will tell you whether your property, in your town, can clear its own costs.

Then read Part 2 in order. The licence sequence matters: register first, list second. Platforms and state inspectors both ask for the certificate number.

Parts 3 and 4 are the operating manual. Part 5 is the toolkit - templates, a 30-day launch plan and a checklist you can print and tick.

Nothing here is legal or tax advice for your specific case. For registration, use your state tourism department; for GST and income tax, use a chartered accountant.

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PART ONE

The money, before the paint

CHAPTER 1

Demand is not the problem. Distribution is.

India recorded 4,286.90 million domestic tourist visits in 2025, up 45.6 per cent on 2024, and 9.15 million foreign tourist arrivals, which were down 8.07 per cent. Both numbers come from the Ministry of Tourism's own dashboard, sourced from state tourism departments and the Bureau of Immigration. Read them together and the strategy writes itself: your guest is Indian, and there are roughly 470 of them for every foreigner.

The supply side is where the opportunity sits. The Ministry of Tourism estimates a shortage of more than two lakh hotel rooms nationally, a figure NITI Aayog cites in its August 2025 policy brief on homestays. New hotels need land, capital and years of approvals. A homestay needs a spare bedroom and a registration certificate. That gap is why the homestay market was worth Rs. 4,722 crore in 2024 and is projected to grow at 11 per cent a year to 2031, and why MakeMyTrip's homestay inventory now accounts for about 10 per cent of its room-night sales.

The same brief records Airbnb's contribution to India's GDP at Rs. 7,200 crore, with host earnings of Rs. 6,400 crore - more than double the 2019 figure. Hosts are not a marginal category any more. They are a distribution channel that travellers use on purpose, because a homestay in Coorg or a flat in Bandra gives them something a hotel cannot: a kitchen, a host who answers questions, and a location inside a neighbourhood rather than on a highway.

What the data says	Latest figure	Source
Domestic tourist visits, 2025	428.69 crore	MoT dashboard
Change on 2024	+45.6%	MoT dashboard
Foreign tourist arrivals, 2025	91.5 lakh	MoT dashboard
Change on 2024	-8.07%	MoT dashboard
Foreign exchange earnings, 2025	Rs. 2.7 lakh crore	MoT dashboard
Hotel room shortfall (MoT estimate)	2 lakh+ rooms	NITI Aayog, 2025
Homestay market size, 2024	Rs. 4,722 crore	NITI Aayog, 2025
Projected growth to 2031	11% a year	NITI Aayog, 2025
Airbnb host earnings in India	Rs. 6,400 crore	NITI Aayog, 2025

The catch: demand is concentrated in about ninety days

A hill homestay in Uttarakhand can run at 80 per cent occupancy from late April to June and again through the Diwali fortnight, then sit at 20 per cent through the monsoon. A metro flat has the opposite rhythm: strong on weekdays for work travel, weak in the festive weeks when everyone goes home. Your annual number is the only number that matters, which is why Chapter 4 models a full year rather than a good weekend.

There is a second, quieter constraint: the foreign arrivals fall of 2025 was driven almost entirely by Bangladesh, where arrivals dropped 73 per cent from about 17.5 lakh to 4.7 lakh. The United States remained the largest source market, followed by the United Kingdom, Australia and Canada. If your plan depends on foreign guests, it depends on a narrow, visa-sensitive, season-bound slice of demand - and on you filing Form III correctly every single time (Chapter 12).

CHAPTER 2

Pick your model before you pick a paint colour

Five operating models get called 'homestay' in India. They carry different rules, different costs and very different amounts of your own time. Choose deliberately, because the licence you apply for follows the model, not the other way round.

Model	Rooms	Who lives on site	Best for
Owner-occupied homestay	1-6	You and your family, in the same house	Hill towns, coastal villages, farm stays
Bed & breakfast	1-6	A manager or operator you designate	City properties where you live elsewhere
Whole-flat short let	1 unit	Nobody - self check-in	Metro flats, business travel, long weekends
Serviced villa	1 unit	Caretaker and staff	Groups, family reunions, high-ticket stays
Farm or experience stay	1-6	You, with the farm as the attraction	Weekend drive-to markets from big cities

The distinction that trips people up is occupancy of the house. NITI Aayog's review of state rules found Uttarakhand, Goa and Kerala all cap a homestay at six rooms and all require the family to reside in the same premises; Kerala goes further and asks for a residence certificate or ration card as proof. Uttar Pradesh allows under five rooms with no residence requirement. The Ministry of Tourism's national classification says the same thing in one line: a homestay is classified only where the owner or promoter physically resides in the establishment with family, letting one to six rooms, twelve beds at most.

The six-room ceiling is not a suggestion

A homestay classification covers one to six lettable rooms, twelve beds. A B&B; covers the same range with a resident manager instead of the owner.

Cross that line and you are not a large homestay. You are a hotel, and hotel compliance - fire NOC, commercial tariffs, FSSAI licensing at a different scale, sometimes a different land-use category - applies to you.

If you have eight rooms, split the operation or run it as a guest house. Do not apply for a homestay certificate and quietly let eight.

If you do not live on the property, stop calling it a homestay in your marketing. Two things follow. Your guests will expect a host family and feel cheated when they get a keybox, which shows up in reviews as 'not a real homestay'. And an inspector who finds an absent owner has grounds to reject or withdraw the classification.

CHAPTER 3

What it costs to open three rooms

A three-room homestay in a tier-two town, furnished to the standard an inspector will actually pass, costs between about Rs. 3.1 lakh and Rs. 6 lakh in 2026, excluding any civil work on the building itself. The ranges below are market quotes, not official rates; get three local quotes for the four biggest lines and treat the rest as estimates.

Line item	Low (Rs.)	High (Rs.)	Note
Beds and mattresses, 3	45,000	75,000	Queen, 6-inch; buy one spare mattress
Linen, 3 sets per room	18,000	30,000	Cotton; 3 sets is the minimum for same-day turnaround
Bathroom upgrade	60,000	1,20,000	Geyser, fittings, exhaust, 24-hour hot water
Air conditioners, 3	90,000	1,35,000	1.5 tonne inverter; checklist wants 20-25 C
Furniture	45,000	70,000	Wardrobe with 4+ hangers, desk, chairs, luggage rack
Electrical: 15A earthed sockets, lighting	15,000	25,000	A checklist item, not an extra
Wi-Fi, router, mesh	6,000	12,000	Gold classification needs internet
RO or mineral water	8,000	18,000	Checklist item in both grades
Fire kit, smoke alarms, first aid	12,000	20,000	Extinguisher is mandatory for Gold
Signage, register, printed rules	5,000	8,000	Name board outside the property
Photography	0	15,000	Chapter 17 shows how to do it on a phone
Registration and classification	3,000	15,000	MoT Silver is Rs. 3,000; Gold Rs. 5,000
Legal and CA set-up	5,000	12,000	Agreement review, books, GST advice

Add two months of running costs as working capital - roughly Rs. 60,000 for a three-room property - because your first bookings will arrive after your first bills. And budget nothing for decorative shopping until the room passes inspection and the photos are shot. Chapter 6 explains why that order matters.

Where owners overspend

Three places. Mattresses bought for looks rather than for the eighth year of nightly use. Bathrooms left at domestic standard when the guest's entire judgement of hygiene forms there in ninety seconds. And air conditioning sized for the bedroom rather than for a room that will be occupied at 2 pm in May. The checklist minimums in Chapter 16 are the floor; spend the money above the floor on the bed and the bathroom, and save it on everything a guest photographs but never touches.

CHAPTER 4

Three numbers decide your year

Every homestay business reduces to rooms multiplied by nights sold multiplied by the rate you actually get. Everything else - decor, breakfast, reviews - moves one of those three numbers. Model the year before you commit capital.

The model, in five lines

Room-nights sold = rooms x 365 x occupancy

Gross booking value = room-nights x ADR (average daily rate)

Payout = gross minus the platform fee (Airbnb: 15.5 per cent of the subtotal)

Contribution per room-night = ADR x 0.845 minus your variable cost per night

Break-even nights = annual fixed cost divided by contribution per room-night

Three worked examples

All three use a 15.5 per cent platform fee on every booking, which is Airbnb's single fee for hosts in India since its 2026 change. If you take a third of your bookings direct, your blended fee falls and every line below improves.

Annual model	A: 3-room hill homestay	B: metro 1BHK	C: one spare room
ADR (Rs. per night)	2,800	6,500	1,800
Occupancy	55%	45%	40%
Room-nights sold	602	164	146
Gross booking value (Rs.)	16,85,600	10,66,000	2,62,800
Platform fee at 15.5% (Rs.)	2,61,268	1,65,230	40,734
Your payout (Rs.)	14,24,332	9,00,770	2,22,066
Variable cost per night (Rs.)	370	250	250
Annual fixed costs (Rs.)	3,73,000	3,85,800	77,000
Capital, amortised (Rs.)	90,000	87,500	20,000
Net before tax (Rs.)	7,38,592	3,86,470	88,566
Break-even room-nights	232	90	76
Break-even occupancy	21%	25%	21%

Assumptions. A: 3 rooms, variable Rs. 370 a night (cleaning and laundry Rs. 250, breakfast Rs. 120), fixed Rs. 3.73 lakh (utilities Rs. 1.2 lakh, part-time staff Rs. 1.2 lakh, maintenance Rs. 60,000, amenities Rs. 40,000, compliance Rs. 15,000, insurance Rs. 8,000, marketing Rs. 10,000), capital Rs. 4.5 lakh over 5 years. B: whole 1BHK, variable Rs. 250 a night equivalent (Rs. 700 per stay, 2.8 nights average), fixed Rs. 3.86 lakh including society charges, capital Rs. 3.5 lakh over 4 years. C: one room in a lived-in home, marginal utilities only, capital Rs. 60,000 over 3 years. Occupancy and ADR are planning inputs, not forecasts.

Two readings of that table. First, break-even sits near a fifth of the calendar in all three cases, so the question is not whether the property can cover its costs but whether you can sell 232 nights in example A. That is a marketing problem, solved in Chapters 17 to 20. Second, the single-room example earns about Rs. 88,000 a year before tax for roughly eight hours of work a week at 40 per cent occupancy - modest, real, and the cheapest way to test whether you enjoy hosting before you build three rooms.

Price the fee into the rate, or lose it quietly

The most common arithmetic error is setting the rate you want to earn. If Rs. 2,800 is your target net of the platform, list at Rs. 3,314, because 15.5 per cent of the guest's subtotal leaves you 84.5 per cent of it. Owners who list at their target rate discover in month three that they are running a full house for a thin margin, and then cut service to recover it - which is how a 4.9 rating becomes a 4.4.

CHAPTER 5

Break-even, payback, and the number to watch

Payback on the three examples is fast - seven to eleven months - which is why homestays look attractive. The figure is flattering for one reason: it does not pay you a salary. A three-room property at 55 per cent occupancy is roughly 12 to 15 hours a week of messages, check-ins, laundry and coordination, plus the mental load of being on call. Value that time at Rs. 300 an hour and example A gives up about Rs. 2 lakh a year of notional wages.

Example	Capital (Rs.)	Net before tax (Rs.)	Simple payback
A: 3-room hill homestay	4,50,000	7,38,592	about 7 months
B: metro 1BHK	3,50,000	3,86,470	about 11 months
C: one spare room	60,000	88,566	about 8 months

The number to watch is occupancy, and its two failure modes

Below about 35 per cent, you have a visibility problem: too few photos, a listing that does not say what makes the place worth the drive, or a calendar that is closed when it should be open. Fix marketing and pricing before you cut the rate again. Above about 65 per cent, you have a pricing problem: you are leaving money on the table, and you are also wearing out the asset and yourself. Raise the weekend rate, add a two-night minimum, and stop discounting the peak.

One more measure worth tracking from week one: revenue per available room-night, which is ADR multiplied by occupancy. It stops you from celebrating a full house sold cheap. Rs. 2,800 at 55 per cent and Rs. 2,000 at 77 per cent are the same Rs. 1,540 - but the second one costs you 40 per cent more cleaning, laundry and breakfast for the same money.

CHAPTER 6

Six ways owners lose money in year one

1. **Buying a property for the business.** A home loan at 8.5 per cent on Rs. 40 lakh costs about Rs. 3.4 lakh a year in interest alone, which is nearly half of example A's net. Use a property you already own, or model the EMI as a fixed cost before you sign anything.
2. **Pricing off the hotel down the road.** A hotel's rate includes a restaurant, a reception desk and a lobby you do not have. Price off what a family of four would pay for a two-bedroom flat with a kitchen in your neighbourhood - that is your real comparison.
3. **Forgetting the 15.5 per cent.** Chapter 4. Set the rate, then divide by 0.845.
4. **Serving food without FSSAI registration.** Rs. 100 a year buys you the registration. Skipping it buys you an inspection and a penalty the first time a guest complains.
5. **Taking a foreign guest with no Form III.** The duty is on you, not the guest, and the compounding penalty is Rs. 50,000 per case. Chapter 12.

6 **Spending on decor before photography and reviews.** The first forty bookings come from twelve good photos and thirty honest reviews, not from a brass lamp.

PART TWO

The legal stack, in the order you need it

CHAPTER 7

Five permissions, and the order that saves you a month

There is no single homestay licence in India. There is a stack: a state tourism registration, a local trade licence, a fire clearance at a threshold, a food registration if you feed paying guests, and GST once you cross a turnover line. Two more obligations - a guest register and 24-hour reporting for foreign nationals - apply from your first guest, whether or not anyone has inspected you.

Permission	Issued by	When you need it	Typical cost
Homestay / B&B; registration	State tourism department (or MoT classification where the state has no scheme)	Before your first paid guest	Rs. 500-10,000 by state
Trade licence	Municipal corporation or gram panchayat	Before commercial operation	Local schedule
Fire NOC	State fire services	Usually at 4 or more rooms, or multi-floor	Local schedule
FSSAI registration	FSSAI through FoSCoS	If you serve meals to paying guests	Rs. 100 a year up to Rs. 1.5 crore turnover
GST registration	GSTN	Turnover above Rs. 20 lakh (Rs. 10 lakh in special category states)	Free to register
NIDHI+ listing	Ministry of Tourism	Voluntary, but useful	Free

Sequence it properly and you save weeks. Registration first, because inspectors want to see a room that is finished, and platforms increasingly ask for the certificate number. Trade licence in parallel, since it comes from a different office. FSSAI only if you cook for guests. GST last, and only when you approach the threshold - registering early means filing returns every month for a business that is not yet required to.

Unregistered is now a marketing problem too

West Bengal launched a state homestay portal on 5 November 2026. The tourism minister said properties without formal certification under the portal will be barred from using the word 'homestay' on signage or advertising. The state counted 5,479 homestays, of which 2,679 were registered.

Kerala's tourism department reported 1,172 recognised homestays and 243 serviced villas as of 12 September 2026, against roughly 7,000 unlicensed units operating through online platforms.

The direction of travel is one way. Register before it becomes a condition of being listed.

CHAPTER 8

The room cap decides your whole application

Room caps, residence requirements and fees are set by your state, not by Delhi. NITI Aayog's 2025 review of four states is the cleanest official summary of how much they differ - and the same divergence exists across the eighteen states that have published homestay guidelines.

State	Homestay cap	Residence rule	Notes from the NITI review
Uttarakhand	Up to 6 rooms	Family must reside in the premises	Capital subsidy and interest subsidy; Uttarastays portal for registered units
Goa	Up to 6 rooms	Family must reside in the same house	Hinterland incentives; caretaker-resident model is classified as B&B;
Kerala	Up to 6 rooms	Family must reside; residence certificate or ration card	Registered homestays get domestic electricity rates
Uttar Pradesh	Under 5 rooms	No residence requirement	No fiscal incentives; Ganga Gramin Krishi Prayatan Yojana covers 330 homestays

Where a state has no scheme of its own, the Ministry of Tourism classifies the property nationally as an Incredible India Homestay or Bed & Breakfast establishment. Both are graded Silver or Gold, and the fees are fixed: Rs. 3,000 for Silver and Rs. 5,000 for Gold, for classification or reclassification. The certificate runs two years, and you apply for renewal three months before it lapses. Applications are decided within 30 days of a complete file reaching the ministry's portal, provided the fee has been confirmed.

The physical standards an inspector scores

The national checklist is a scoring sheet, and the minimums are worth knowing before you buy furniture. Room floor area: 120 sq ft in the plains and 100 sq ft in the hills for Silver; 200 and 120 for Gold. Bathroom: 30 sq ft for Silver, 40 for Gold, attached and private in both. Hot and cold running water around the clock, a 15-amp earthed socket in every guest room, a wardrobe with at least four hangers, complimentary RO or mineral water, and the name and number of a doctor displayed. Both grades require a guest register recording check-in and check-out, with passport details for foreign tourists.

Several items are marked mandatory for Gold that are only desirable for Silver: a fire extinguisher, internet, a refrigerator in the room, laundry arrangements, a lounge area, and luggage assistance. If you intend to apply for Gold, buy to that list once rather than upgrading after the first inspection. Deficiencies have to be fixed within three months of the visit, and a re-inspection that fails ends the application.

One requirement catches owners who bought a flat: the application asks whether police clearance has been obtained regarding the antecedents of the owner and the proposed activity. Get it from your local station before you file, not after the file is returned.

CHAPTER 9

NIDHI+ costs nothing and takes an afternoon

The National Integrated Database of Hospitality Industry is the Ministry of Tourism's own registry, and its live counters are a useful reality check on the sector: 6,332 homestays registered nationally, of which 255 have gone through formal classification, alongside 13,598 bed-and-breakfast units and 26,870 hotels. Against a market that tourism ministries describe in lakhs of units, formal registration is still a minority sport - which is exactly why doing it puts you ahead of the listing down the road.

Register on the NIDHI+ portal with your property details, ownership documents and photographs. There is no fee. The benefit is not a plaque; it is being inside the government's data bank when a state runs a scheme, a training programme or a destination campaign, and having a registration

number you can put on a listing page. Several states' incentive schemes require it, and Uttarakhand's Uttarastays portal promotes registered units only.

CHAPTER 10

GST: the Rs. 7,500 test, not the label on your gate

Two questions decide your GST position, and neither is about what you call the property. The first is turnover: registration is required above Rs. 20 lakh of annual services turnover, or Rs. 10 lakh in the special category states. The second is the nightly value of each unit of accommodation, which decides the rate.

Value of one unit, per day	GST from 22 September 2025	Input tax credit
Rs. 7,500 or less	5% (2.5% CGST + 2.5% SGST)	Not available, and not optional
Above Rs. 7,500	18%	Available

The 5 per cent slab is mandatory. The 56th GST Council removed the old 12 per cent accommodation rate with effect from 22 September 2025, and the CBIC's own FAQ confirms a supplier of rooms at or below Rs. 7,500 a unit a day cannot opt to pay 18 per cent with credit instead. A Lok Sabha reply on 20 July 2026 confirmed no change was pending.

Three rules that decide which slab you are in

The test is per unit, per day. Three rooms let at Rs. 3,500 each are three units at 5 per cent, even when one family books all three for Rs. 10,500 a night. Let the whole house as a single booking at Rs. 10,500 and the house is the unit, taxed at 18 per cent with credit.

The test uses the transaction value, not your published rack rate. A Rs. 8,000 room sold at Rs. 7,200 in the off-season is taxed at 5 per cent for that stay. And charges that are part of the same supply - a compulsory cleaning fee, an extra-bed charge, a mandatory package element - count towards the value and can push a Rs. 7,200 room over the line.

What Airbnb does, and what you still have to do

If your turnover is at or below the threshold, Airbnb collects GST from the guest and remits it to the government for you, on the basis of your India country of residence and the Indian address on the listing.

Once you cross the threshold you must register for GST, give the platform your GSTIN, and remit the tax yourself; the platform deposits tax collected at source against that GSTIN.

Either way, GST sits on top of your rate. It raises the guest's bill; it does not come out of your payout. Show it separately on your invoice so nobody thinks you pocketed it.

CHAPTER 11

Feeding guests legally costs Rs. 100 a year

If you serve breakfast, lunch or dinner to paying guests, you are a food business operator. FSSAI's kind-of-business table names boarding houses serving food and hotels providing lodging with meals, and the fee for a small operation is Rs. 100 a year. The registration is filed on FoSCoS, FSSAI's own portal, and it is the cheapest line in your entire compliance budget.

Annual turnover	Category	Fee per year
Up to Rs. 1.5 crore	Registration	Rs. 100
Above Rs. 1.5 crore to Rs. 50 crore	State licence	Rs. 2,000-5,000 by kind of business
Above Rs. 50 crore	Central licence	Rs. 7,500

Turnover thresholds as revised for applications from 1 April 2026, per FSSAI's kind-of-business eligibility table and the FoSCoS fee schedule.

Choose the row honestly. 'Food vending establishment' covers boarding houses serving food and home-based kitchens; the hotel row covers an establishment providing lodging, meals and guest services. Keep the registration certificate framed in the kitchen, because a guest who asks for it and does not get one writes about it.

CHAPTER 12

A foreign guest is a 24-hour deadline, not a formality

This is the single most commonly missed rule in Indian hosting, and it now carries a price. The Immigration and Foreigners Act, 2025 came into force on 1 September 2025 and repealed the Registration of Foreigners Act, 1939 along with three other laws. Section 8(1) puts the duty on the keeper of the accommodation: you must furnish details of foreigners staying in your premises to the Registration Officer.

Under Rule 17 of the Immigration and Foreigners Rules, 2025, the guest gives their particulars at arrival and signs for them, and the departure date, time and onward address are recorded when they leave. Those records must be kept electronically for at least one year and produced on demand to a Registration Officer, District Magistrate or police officer of head-constable rank or above. Within 24 hours of arrival you must transmit Form III - the form everyone still calls Form C - through indianfrro.gov.in or the Indian Visa Su-Swagatam app.

The rules that surprise hosts

The definition of accommodation explicitly includes homestays, paying-guest rooms, rented houses, boarding houses and tents. 'It is my own home' is not a defence once you take money.

OCI cardholders are now reported too. Under the old Form C regime they were exempt.

Non-payment or late payment carries a compounding penalty of Rs. 50,000 per case under the MHA's notification of 1 September 2025; penal provisions in Section 23(b) run to Rs. 1 lakh or imprisonment of two to seven years, or both.

The guest's own FRRO registration within 14 days - required for visas over 180 days - is their obligation, not yours. But they will need a residence letter from you, so keep a signed template ready.

The five-minute check-in routine

1. Photograph the passport photo page and the visa or entry stamp. Store both in a folder named for the booking.
2. Enter name, passport number, nationality, visa type, arrival date and address of next destination in your guest register - the same register your classification inspection will ask to see.
3. File Form III on indianfrro.gov.in the same day. Do not batch it to the end of the week; the clock is 24 hours from arrival.

4. On departure, record date, time and onward address, and file the departure report.
5. Keep the records for a year. If an officer asks, you produce them; if you cannot, the penalty is per case, not per visit.

If you take one action from this chapter: put the indianfrro.gov.in bookmark on the phone you use for the business, next to the platform app. The rule only bites when you cannot remember the portal's name at 11 pm.

CHAPTER 13

Societies, landlords and the neighbour who complains

The fastest way to end a short-let business is not an inspector. It is a neighbour who escalates to the society committee, or a landlord who discovers the flat is on Airbnb. Both problems are cheaper to solve before the first booking than after the tenth.

In a housing society, read the bye-laws for any restriction on commercial use, then ask the committee for written no-objection. Verbal permission is worth nothing when the complaint arrives. Expect two practical consequences even with permission: your electricity may be billed at commercial tariff, and the society may want a higher maintenance contribution for a unit with transient occupancy. Budget both before you price the room.

If you rent the property, your agreement decides everything. An 11-month leave-and-licence is the standard Indian instrument, but it almost never permits sub-letting, and short lets are sub-letting. Get an explicit written clause allowing guest accommodation, signed by the owner, and keep a copy with the registration file. One tax point if you are the tenant and GST-registered: renting a residential dwelling to a registered person attracts GST under reverse charge, so your CA needs to see the lease.

CHAPTER 14

Money to build it: MUDRA and state subsidies

Two funding routes are open to a first-time host, and both are underused because owners assume they are for factories. Pradhan Mantri MUDRA Yojana lends collateral-free to micro enterprises, up to Rs. 20 lakh, and the 2025 Budget explicitly brought homestays into it.

MUDRA category	Loan range	Typical use
Shishu	Up to Rs. 50,000	Furnishing one room, linen, signage
Kishore	Rs. 50,001 to Rs. 5 lakh	Two to three rooms, bathroom upgrade
Tarun	Rs. 5 lakh to Rs. 10 lakh	Full three-room fit-out, ACs, civil work
Tarun Plus	Rs. 10 lakh to Rs. 20 lakh	Second property or villa conversion, for those who repaid a Tarun loan

Apply through any member lending institution - a public sector bank, regional rural bank, small finance bank, NBFC or microfinance institution - or online through jansamarth.in. Take a two-page project report: the three-number model from Chapter 4, itemised quotations for the fit-out, ownership proof, and your last two years of income-tax returns. Banks reject homestay files for one reason more than any other: the revenue line is a hope rather than a model.

State incentives are real money, and wildly uneven

NITI Aayog's review documents what four states actually offer. Uttarakhand pays a capital subsidy of 25 per cent of the cost of capital works up to Rs. 7.50 lakh in general areas, rising to 33 per cent up to Rs. 10 lakh in hilly areas, plus an interest subsidy for the first five years covering half the interest - up to Rs. 1 lakh a year in general areas and Rs. 1.50 lakh in the hills. Kerala gives registered homestays domestic electricity rates. Goa's hinterland scheme reimburses the application fee for the first 100 homestays, subsidises furniture up to Rs. 2 lakh from approved vendors, and reimburses half of travel and accommodation up to Rs. 50,000 for one domestic trade show a year. Uttar Pradesh offers no fiscal incentive at all.

Treat every figure in that paragraph as a scheme with conditions attached - residency, village location, registration status, and a budget that can close mid-year. Confirm the current terms in writing with your state tourism department before you build the application into your financing.

CHAPTER 15

Income tax: the 6 per cent route, and its new name

The Income-tax Act, 2025 replaced the 1961 Act on 1 April 2026. If your accountant still says '44AD', they mean the presumptive scheme, which now sits in Section 58 - the business row of its table. The numbers did not change with the renumbering: turnover up to Rs. 2 crore, extended to Rs. 3 crore where cash receipts are 5 per cent or less, with deemed profit at 6 per cent of receipts taken through banking or prescribed electronic modes and 8 per cent of the rest.

For a homestay this is unusually generous, because almost every rupee arrives through a platform payout into a bank account. Example A's Rs. 16.86 lakh of turnover produces a deemed income of about Rs. 1.01 lakh at 6 per cent. That is a floor, not a ceiling: you may declare a higher figure, and if your actual profit is Rs. 7.39 lakh you should - declaring 6 per cent when you have real profit is an invitation to scrutiny.

Three housekeeping rules. Run the business through one current account so the turnover line is defensible. Pay advance tax once your expected liability crosses Rs. 10,000, or wear the interest. And do not claim depreciation on the house itself if it is your residence - the portion let out is a business asset, the rest is not, and the split is a question for your CA, not for a blog.

PART THREE

Build something worth photographing

CHAPTER 16

The room standard that earns five stars

Guests rate three things in the first ten minutes: the bed, the bathroom, and whether the photos told the truth. Spend on those three and the rest of the review writes itself. The Ministry of Tourism's checklist is a useful floor because it was written by people who inspect hundreds of properties, and its minimums are modest - 120 sq ft in the plains, a 30 sq ft attached bathroom, hot and cold water around the clock.

Item	What guests actually judge	Minimum you should hold
Mattress	Sagging in the middle by year two	6-inch firm foam or pocket spring, replaced on a 5-year cycle
Pillows	Two thin ones instead of one good one	Two per guest, plus one spare
Linen	Grey sheets, or sheets that smell of the last guest	Three sets per room in white cotton; bleach-washable
Bathroom	Water pressure, drainage smell, hot water at 6 am	24-hour hot water, exhaust fan, no loose fittings
Towels	One thin towel for two people	Two bath towels and one hand towel per guest
Lighting	One tube light, no reading light	Bedside lamp plus warm overhead
Sockets	None near the bed	Two points near the bed, one 15-amp earthed
Water	Bottles you charge for	RO or sealed water complimentary, as the checklist asks
Wi-Fi	A password on a sticky note that does not work	Mesh router, password on a printed card, speed tested
Blackout	Streetlight through a thin curtain	Curtains that actually block light

Two cheap additions outperform their cost every time: a printed card with the Wi-Fi password, the host's phone number and the doctor's number, and a small tray with tea, sugar and an electric kettle. Neither is expensive, both get mentioned in reviews, and the doctor's number is a checklist requirement anyway.

What not to buy

Decorative items that need dusting. Anything white and upholstered in a room that will host 600 guest-nights a year. Smart locks you cannot explain to a guest over the phone at midnight. And a television in every room, when the reason people booked a homestay was to sit outside.

CHAPTER 17

Photograph it with the phone you already own

Photography is the highest-return hour you will spend on this business. A listing with twelve bright, honest, decluttered photos outbooks a better property with four dim ones, because the platform's search ranks on how often people click, and clicks are decided by the first image.

1. Shoot at 10 am to 2 pm. Open every curtain and switch on every light, including the bathroom. A phone camera in a dark room produces the yellow, grainy photos that read as 'budget'.
2. Shoot landscape, from chest height, with the phone level. Tilting down makes rooms look bigger and dishonest; guests notice when they arrive.
3. Make the bed with fresh linen and no wrinkles, remove every personal object, and put one folded towel and a flower or a book on the bed.
4. Twelve shots, in this order: the exterior with signage, the best room from the doorway, the bed straight on, the bathroom, the view from the window, the balcony or sit-out, the breakfast table, the second room, the kitchen if guests use it, the building from the road, the neighbourhood landmark, and one detail that is uniquely yours.
5. Wipe the lens, tap to focus, and turn off beauty or portrait modes. Then delete half of what you shot - the honest, well-lit best is worth more than volume.

Do not use filters. Guests compare photos to the room in the first thirty seconds, and the gap between the two is the most common cause of a four-star review on a five-star property.

CHAPTER 18

Write a listing that ranks and converts

A listing has one job: make the right guest click, then remove every doubt between the click and the booking. Structure beats adjectives. 'Peaceful' means nothing; 'ten minutes' walk to the temple, quiet lane, no traffic after 9 pm' books the room.

The title

Use a formula: room type, then the landmark, then the one unusual thing. 'Two-bedroom flat with balcony, 8 min walk to Marine Drive' beats 'Beautiful cozy home in the heart of the city'. Keep it under 50 characters so it does not truncate in search.

The description, in five blocks

1. One sentence on who it suits: 'Best for families of four driving up from Delhi for the weekend.'
2. The space, room by room, with sizes and bed counts. Say what is shared and what is private.
3. The location, in minutes on foot and by car, to the three things guests came for. Name the railway station and the airport.
4. The practical detail guests ask about before booking: parking, hot water, Wi-Fi speed, meals, check-in time, stairs, pets, smoking.
5. One paragraph on you. What you cook, what you know about the area, how quickly you reply. This is the part a hotel cannot copy.

Then fill in the amenities honestly and completely, because guests filter on them. Under-promise on nothing that is checkable, and over-deliver on the one thing you control: response time. A reply within an hour converts a browser into a booking; a reply the next morning usually does not.

CHAPTER 19

Price by the calendar, not by the competition

Indian travel demand has a shape, and pricing that ignores it either gives away your peak or prices you out of the trough. Build a twelve-month rate card with four bands: peak, high, standard and low.

Period	Band	What drives it	Rate move
Late April to June	Peak (hills)	School holidays, heat in the plains	+30 to +50%
24 Dec to 2 Jan	Peak	Christmas and New Year	+40 to +60%
Oct to mid-Nov (Diwali)	High	Festivals, long weekends	+20 to +35%
Jan to March	High (cities)	Wedding season, work travel, pleasant weather	+10 to +25%
July to September	Low (hills)	Monsoon, landslide risk, school term	-20 to -35%
Weekdays, off-season	Low	No leisure demand	Hold the floor, add value

Three pricing habits separate the properties that earn from the ones that merely fill. Charge a two-night minimum on weekends and festivals, because a one-night Saturday blocks a two-night booking and doubles your laundry for half the revenue. Keep a floor rate you never cross - discounting below it teaches the algorithm and the guest that your price is negotiable. And when demand is soft, add value before you cut price: breakfast, a late checkout, a local guide. A discount is permanent in the guest's mind; a free breakfast is not.

Set the calendar three months ahead, not three weeks. Peak dates fill early, and an open calendar with no rate set is the most common reason a good property has an empty Diwali.

CHAPTER 20

What each channel really costs

Airbnb changed its fee structure for hosts in 2026, and the change matters to your arithmetic. It moved from a split fee - roughly 3 per cent from the host, a guest fee on top - to a single 15.5 per cent fee paid by the host, with guests paying nothing extra. The price a guest sees is the price you set, and you keep 84.5 per cent of the subtotal, which includes any cleaning or pet fee you add.

Channel	Cost to you	Who pays	Best for
Airbnb	15.5% of the subtotal	Host, deducted from payout	Reach, reviews, international guests
Booking.com	Set in your contract; commission is charged on the total including your fees	Host, invoiced monthly	European and long-stay travellers
MakeMyTrip / Goibibo	Negotiated rate card	Host	Domestic volume; homestays are about 10% of its room-nights
Direct (WhatsApp, Instagram, Google)	Your time, plus payment gateway fees	Nobody	Repeat guests, your best margin

Booking.com does not publish a commission rate. Its partner documentation says the percentage depends on your country, property type and the accommodation agreement you signed, and points you to the General Delivery Terms and the Finance tab in your extranet. Third-party estimates cluster around 15 per cent, with a range of 10 to 25. Read your own contract; the number that applies to you is the one in it, and optional programmes such as Preferred Partner add to it.

Aim for a 60/30/10 mix

Sixty per cent of room-nights from the platform where you have the most reviews, thirty from a second channel, ten direct.

Every direct booking is worth 15.5 per cent more than the same booking through Airbnb. Ask for it at checkout, in the review reply and on a card left in the room.

Claim your Google Business Profile with photos, hours and a phone number. It is free, and for a property with a name board it is the single cheapest source of direct enquiries.

PART FOUR

Running it without losing your weekends

CHAPTER 21

Seven messages carry the whole guest journey

Guests do not need a concierge. They need to know you are there, that the room is what they saw, and how to get in. Seven messages, sent at fixed points, remove almost every anxiety - and they cost about twenty minutes per booking in total. The wording is in Chapter 28; the timing is what matters.

When	Message	Purpose
Within 1 hour of enquiry	Availability and one clarifying question	Response time is a ranking factor and a conversion factor
On booking	Confirmation with directions, check-in window, payment terms	Kills the 'how do I reach you' thread
48 hours before	Arrival details, what to carry, weather note	Reduces no-shows and late-night calls
On arrival day, morning	Landmark and parking instruction, host phone number	The single most useful message you will send
After check-in, 2 hours	Anything you need?	Catches the problem before the review
Night before checkout	Checkout time, bill, feedback request	Smooths departure
Day after checkout	Thank you, review request, direct-booking offer	Reviews are the compounding asset

Two habits make those messages work. Use the same channel the guest used - a WhatsApp thread is better than email for Indian guests, and the platform's own chat until the booking is confirmed. And write the templates once, in a notes app, so you are not composing at 11 pm.

CHAPTER 22

House rules that prevent most problems

Rules written after an incident sound punitive. Rules printed on a card and mentioned in the listing read as professionalism, and they pre-filter the guests you do not want. Keep it to eight lines and put the same text in the listing's house rules field, where it appears before booking.

1. Check-in from 1 pm, checkout by 11 am. Early check-in subject to the previous night being free.
2. Valid government photo ID for every adult guest; passport and visa for foreign nationals.
3. No smoking indoors. Designated spot outside, ashtray provided.
4. Quiet hours 10 pm to 7 am. Music off, voices down - the neighbours are not on holiday.
5. No unregistered visitors. Additional guests must be declared and are charged per head.
6. Kitchen use: by arrangement, and cleaned after use. Or state plainly that it is not available.
7. Pets by prior approval only, with a cleaning charge.
8. A refundable security deposit for groups, refunded within 48 hours of checkout after inspection.

Then enforce the first rule you set, the first time it is broken. A host who lets a ten-person party through after writing 'no parties' teaches every future guest that the rules are decoration.

CHAPTER 23

The 45-minute turnaround

Between an 11 am checkout and a 1 pm check-in you have two hours, and the room needs about 45 minutes of real work. The rest is buffer for the guest who leaves late. Write the sequence down, stick it inside the cupboard, and train whoever helps you to follow it in the same order every time - inconsistency is what produces the stray hair in the bathroom that turns into a three-star review.

Zone	Task	Minutes
Bedroom	Strip linen, air the room, wipe surfaces, restock water and tea	8
Bathroom	Descale, disinfect, restock towels, soap, toilet paper, check hot water	10
Floors	Sweep and mop, including under the bed and behind the door	7
Bed	Fresh linen, hospital corners, two pillows per guest, folded towel	8
Kitchen and common	Wipe table, wash cups, empty bins, refill water	6
Final check	Photograph the made room, check the AC and the remote, lock the window	6

Linen is where the economics hide. Three sets per room means one on the bed, one in the wash and one on the shelf - the minimum for same-day turnaround. In-house laundry costs electricity, water and your time; outsourced laundry in most Indian towns runs Rs. 40 to Rs. 80 a kg, and a room's linen set weighs about 3 kg. Do the arithmetic on your own volumes: at 600 guest-nights a year, outsourced laundry for a three-room property is roughly Rs. 80,000 to Rs. 1.4 lakh, which is why the variable cost per night in Chapter 4 includes it.

CHAPTER 24

Breakfast is the cheapest review you can buy

A breakfast that costs you Rs. 35 a plate and is served hot on a clean table appears in more reviews than any other single feature. It also justifies a rate Rs. 200 higher than a room-only competitor, which is Rs. 1.2 lakh a year at 600 guest-nights.

Plate	Ingredient cost (Rs.)	Note
Poha or upma with chutney	18-25	Local, fast, vegetarian by default
Aloo or gobi paratha with curd	30-40	Fills a family, travels well
Eggs to order, toast, fruit	25-35	Covers non-vegetarian guests without a second menu
Idli or dosa batter (bought fresh)	22-30	Only if you can source good batter daily
Filter coffee or masala chai	8-12	Never charge for the second cup

Three operational rules. Ask about allergies and vegetarian requirements at booking, not at the table. Fix a serving window - 8 to 10 am - and say so in the listing, or you will cook at 6 am for one guest and 11 am for another. And serve one local speciality you can name: the pahadi chutney, the Coorg honey, the Goan poi. That is the sentence guests repeat to their friends.

CHAPTER 25

Reviews: ask properly, answer calmly

Reviews are the only marketing asset that compounds. Ask at the right moment - the morning of checkout, in person or on WhatsApp, with a direct link - and you will convert far more guests than a request sent a week later. Never offer anything in exchange for a review; platforms penalise it and guests distrust it.

For a three-star review, reply within 24 hours, in four sentences: thank them, name the specific problem without excusing it, say what you changed, and invite them back. Do not argue the facts in public even when you are right - the next reader is deciding whether you are reasonable, not whether the guest was. And reply to the five-star ones too, briefly and personally, because a wall of unanswered praise looks automated.

Platform badges follow from the same behaviour: rating, number of stays, cancellation rate and response rate, assessed on a cycle. The thresholds sit in your host dashboard and change; the levers do not - answer fast, never cancel a confirmed booking, and fix the small things before they are reviewed.

CHAPTER 26

Five numbers, one page, every month

You do not need accounting software in year one. You need five numbers, written down on the first of every month, and a single bank account so the numbers are true.

Number	Where it comes from	What it tells you
Room-nights sold	Bookings calendar	Volume; compare to last month and last year
ADR	Payout plus fee, divided by room-nights	Whether your pricing is working
Occupancy	Room-nights sold divided by available room-nights	Demand vs visibility
Channel mix	Bookings by source	How much margin the platform is costing you
Net per room-night	Payout minus variable cost, divided by room-nights	The only number that pays a bill

Then keep a one-page monthly sheet: revenue by channel, variable costs, fixed costs, and the difference. If net per room-night falls for two consecutive months while occupancy rises, you are buying volume with margin - raise the weekend rate or cut a channel before the year turns.

Keep the paperwork an inspector or a bank will ask for: the guest register, the registration certificate, FSSAI if applicable, GST invoices once you are registered, and Form III filings for foreign guests. One folder, physical or cloud, named by month. It takes ten minutes a week and saves a day when someone asks.

CHAPTER 27

The second property, and when not to buy it

The temptation arrives in month eight, when the first property is full and the numbers look easy. Four tests before you sign anything on a second.

1. Occupancy above 65 per cent for six consecutive months, with turned-away enquiries you can count.
2. A named person who will run it - not 'we will find someone'. Management of a second property from a distance is a job, and unpaid family labour runs out.
3. Six months of operating costs in reserve, on top of the fit-out budget. Seasonality is not a theory in the year the monsoon is bad.
4. Net per room-night holding steady or rising while you added the first property's overheads.

If those hold, the second property is usually a better use of capital than expanding the first beyond six rooms, because six rooms is the classification ceiling and crossing it changes your compliance category. The alternative is managing other people's homes for a fee - arrangements vary widely in the Indian market, and the split is negotiable against what you actually do: listing, pricing, guest communication, cleaning coordination and compliance. Put the scope in writing, including who files Form III.

PART FIVE

The toolkit

CHAPTER 28

Twelve templates to copy, paste and edit

Replace the bracketed parts. Keep them short; guests read on a phone.

1. Enquiry reply (within the hour)

Hello [name], thank you for writing. [Room type] is available for [dates] at Rs. [rate] a night, including breakfast for [n] guests. The flat is [one line on location]. Before I confirm: how many adults and children, and are you arriving by car or by train? I will hold the dates for 12 hours. - [host name], [phone]

2. Booking confirmation

Confirmed for [dates], [n] guests, Rs. [total]. Check-in from 1 pm, checkout by 11 am. Address: [full address with a landmark]. Parking: [where]. Please carry a government photo ID for every adult. I will send directions and my number two days before you arrive. Cancellation: [policy].

3. Forty-eight hours before arrival

Hello [name], looking forward to [day]. Two things: the last 500 metres are narrow, so ignore the map and follow the [landmark] - I have attached a photo. And it is [weather] here, so bring [advice]. Anything you want stocked in the fridge before you arrive?

4. Arrival-day morning

Good morning [name]. I am at the property from [time]. Call [number] when you are 20 minutes away and I will keep the gate open. If you are running late, no problem - just message me the new time.

5. Two hours after check-in

Settling in okay? Hot water takes about two minutes to come through. Breakfast is [time] in [place]. If you need anything at all, message me here - I am five minutes away.

6. Night before checkout

Hope you enjoyed [local thing]. Checkout is by 11 am tomorrow, and you can leave the keys on the table. Your bill is attached. If anything was not right, tell me now rather than later - I would rather fix it than read about it.

7. Review request

Thank you for staying with us, [name]. If you have a minute, a review helps a small place like ours more than you would think: [link]. And if you come back to [town], message me directly - I will keep the rate better than the platform's.

8. Answering a three-star review

Thank you for the honest feedback, [name]. You are right about [specific issue] - we have [specific fix, with a date]. The rest of the stay sounds like it worked, and I would like to host you again so you can see the difference. - [host name]

9. Price objection

I understand - Rs. [rate] is above the cheapest option nearby. Ours includes [breakfast, parking, whole flat, whatever is true], and there is no separate cleaning fee. If the dates are flexible, [alternative dates] are Rs. [lower rate]. I would rather be straight with you than discount and cut the service.

10. Off-season offer to past guests

Hello [name], [month] is quiet and beautiful here - [one specific reason]. Past guests get Rs. [rate] a night, breakfast included, if you book directly with me. No platform fee, and cancellation up to 72 hours before.

11. Guest register format (one line per guest)

Date in | Name | Nationality | ID type and number | Passport/visa seen (Y/N) | Address | Phone | Room | Date out | Time out | Onward destination | Form III filed (Y/N)

12. Monthly P&L;, one page

Revenue: platform payouts [n], direct receipts [n], extras [n]. Variable: laundry [n], breakfast [n], amenities [n], cleaning help [n]. Fixed: electricity [n], water [n], internet [n], staff [n], maintenance [n], insurance [n], compliance [n]. Net before tax. Room-nights sold, ADR, occupancy, channel mix.

CHAPTER 29

Thirty days from decision to first guest

Days	Do this	Output
1-3	Confirm the model, the room count and the residence rule for your state	A one-page decision, written down
4-7	Read your state's homestay policy and list the documents it asks for	Document checklist, gaps identified
8-10	Register on the state tourism portal; file NIDHI+ in parallel	Application numbers, fee paid
11-14	Order the four big items: beds, linen, bathroom work, ACs	Delivery dates
15-18	Electrical work, sockets, lighting, Wi-Fi, fire kit	Room passes the checklist minimums
19-21	Shoot the twelve photos; write the listing text and house rules	Listing draft, ready to publish
22-24	FSSAI registration if you serve meals; open the current account	Rs. 100 paid, bank account live
25-27	Publish on one platform, set the calendar three months out, set the rate card	Listing live
28-30	Tell everyone you know; set up Google Business Profile; host your first guest at a slightly lower rate in exchange for an honest review	First booking, first review

CHAPTER 30

Pre-launch checklist

Print this. Nothing goes live until every line is ticked.

Legal	Tick
State homestay or B&B; registration applied for, certificate number in hand	[ ]
Local trade licence applied for	[ ]
Police clearance on owner antecedents obtained	[ ]
Fire extinguisher, smoke alarm and first-aid kit in place	[ ]
FSSAI registration filed if meals are served	[ ]
GST position checked with a CA against the Rs. 20 lakh threshold	[ ]
NIDHI+ listing submitted	[ ]

Legal	Tick
Guest register printed and in use	[ ]
Form III process tested on indianfrro.gov.in with a dummy entry	[ ]
Society or landlord written permission on file	[ ]

Product and operations	Tick
Every room has hot water 24 hours and a 15-amp earthed socket	[ ]
Three sets of linen per room, white and bleach-safe	[ ]
Wi-Fi tested in every room, password card printed	[ ]
Doctor's name and number displayed in each room	[ ]
House rules card printed, same text in the listing	[ ]
Twelve photos shot, edited, and the honest ones kept	[ ]
Listing text written with the five blocks	[ ]
Rate card set for twelve months, four bands	[ ]
Calendar open three months ahead with two-night weekend minimum	[ ]
Cleaning sequence written and timed	[ ]
Breakfast menu, cost per plate and serving window fixed	[ ]
Seven guest messages saved as templates on the business phone	[ ]
Monthly P&L; sheet created with the five numbers	[ ]

CHAPTER 31

Sources and official links

Every legal figure in this book traces to one of these. Check them before you file, because schemes and fees change between editions.

Source	What it covers
Ministry of Tourism dashboard, data.tourism.gov.in	Domestic visits, foreign arrivals, forex earnings, 2025 figures
NITI Aayog, Rethinking Homestays: Navigating Policy Pathways, August 2025	Market size, room caps by state, incentives, room shortage estimate
Ministry of Tourism, Common National Standards and Guidelines for Incredible India B&B; and Homestay Establishments, nidhi.tourism.gov.in	Classification criteria, Silver and Gold fees, checklist, room and bathroom minimums
NIDHI+ portal, nidhi.tourism.gov.in	Registration, live counts of registered and classified units
CBIC Notification 15/2025-Central Tax (Rate), effective 22 September 2025; 56th GST Council FAQ	5% without ITC up to Rs. 7,500 per unit per day; 18% above
Airbnb India tax guidance and host fee pages	GST collection below the threshold, 15.5% single host fee, TCS
FSSAI FoSCoS eligibility table and fee schedule, updated 1 April 2026	Registration at Rs. 100 up to Rs. 1.5 crore turnover
Immigration and Foreigners Act, 2025 and Immigration and Foreigners Rules, 2025; MHA compounding notification, 1 September 2025	Form III within 24 hours, record retention, Rs. 50,000 penalty

Source	What it covers
Income-tax Act, 2025, Section 58; incometaxindia.gov.in threshold tables	Presumptive scheme limits and 6%/8% rates
Department of Financial Services, Pradhan Mantri MUDRA Yojana	Shishu, Kishore, Tarun and Tarun Plus limits
Booking.com partner help, Understanding your commission	Commission is contract-based and not published

Rules that changed during 2025 and 2026 - the GST rate, the Immigration and Foreigners Act, the Income-tax Act 2025 - are the ones most likely to be wrong in older guides, including the ones you will find ranked above this book. When a source disagrees with this one, prefer the government document dated later.

One last thing

A homestay works when the host is present, the room is honest and the replies are fast. Everything in this book supports those three things; none of it replaces them.

Start with one room. Learn the rhythm of a season. Then add the second.

PART SIX

Problems, seasons and the long game

CHAPTER 32

What to do when it goes wrong

Something will go wrong in your first year. The difference between a host who survives it and one who quits is having decided the response in advance, when you are calm and the guest is not shouting.

Situation	Do this	Cost it at
You are overbooked	Find an equivalent room nearby, pay the difference yourself, refund in full, and apologise once without excuses	One to two nights' rate
Guest damages something	Photograph at check-in and at checkout; claim through the platform's resolution process before the window closes; keep the deposit separate	Your deposit policy
Guest demands a refund mid-stay	Ask what specifically is wrong. Fix what is fixable the same day. Refund only what the listing promised and you did not deliver	One night's rate
Medical emergency	Call 108, give the address and the landmark, stay with the guest, keep the doctor's number from the room card	Nothing - this is why the number is on the wall
Power cut or no water	Tell the guest before they discover it, with a time to fix. Offer a partial refund unprompted; it costs less than the review	10-20% of one night
A party or noise complaint	One calm request, then the rules. If it continues, ask them to leave and involve the society or police as needed	The booking
Theft alleged	Never accuse. Ask them to file a complaint, cooperate fully, and let the process run. Do not discuss it in public	Reputation, so handle it privately

Two rules sit behind that table. Decide the money question before the guest asks: a refund you offer in the first hour reads as professionalism, the same refund after an argument reads as a confession. And write down what happened, with dates and photographs, in a single file per incident - the platform's resolution process, your insurer and any police complaint all run on documents.

CHAPTER 33

Insurance, safety and the risks nobody prices

A house that earns is underwritten differently from a house that does not. Most standard householder policies in India are written for a private residence, and commercial letting is the kind of change in use that insurers expect to be told about. Call your insurer before your first guest and put the answer in writing - if the policy needs an endorsement or a commercial cover, you want to discover that now, not after a fire.

1. Fire: one extinguisher per floor, a smoke alarm in each guest room and the corridor, and a gas line inspection if you cook with LPG. The national classification checklist already requires extinguishers at the Gold grade.
2. Electrical: get the load audited before you add three air conditioners to a domestic connection. Overloaded circuits are the most common cause of homestay fires in hill towns.

3. Water: know your tank capacity and your backup. A hill property in May runs dry in a day if the tank is 500 litres.
4. Roads and weather: in the hills, keep a written cancellation policy for road closures and landslides. Refunding a stay that could not happen is cheaper than the review that follows an argument about it.
5. People: a first-aid kit, a displayed doctor's number, and a printed list of emergency contacts. A guest who cuts a foot at midnight should not have to wake you to find a clinic.

Public liability cover is worth pricing even where it is not compulsory, because the exposure is not the building - it is a guest slipping on a wet bathroom floor. Ask your insurer for a quote with the homestay described honestly: rooms, guests, meals served, staff.

CHAPTER 34

The off-season is a product problem, not a discount problem

Every hill property has three dead months and every metro flat has two quiet weeks. Discounting the nightly rate in those months mostly teaches the market that your price is soft. Selling a different product fills them.

Off-season product	Who buys it	How to price it
Monthly stay, 28 nights or more	Workation guests, remote employees, families between schools	55-65% of ADR, one turnover, utilities included
Small company offsite	Teams of 8-15 from nearby cities	Whole property, per-head package with meals
Workshop or retreat	Yoga, writing, photography groups	Whole property for 3-5 nights, mid-week
Long-stay medical or family visit	People in town for treatment or a wedding	Weekly rate, kitchen access, quiet floor
Photo or film shoot	Brands, wedding photographers	Day rate plus a damage deposit; check local permissions

The arithmetic that makes a monthly stay worth taking: thirty nights at 55 per cent of a Rs. 2,800 ADR is Rs. 46,200 with one cleaning, one set of linen changes and one check-in. Twelve peak nights at full rate earn Rs. 33,600 but cost twelve turnarounds. In a dead month, the long stay wins on both revenue and effort - and it keeps the property aired, which prevents the damp and pest problems that closed rooms develop.

CHAPTER 35

Beyond the platform: three free channels

Platforms bring strangers. Three free channels bring the guests who cost you nothing in commission and often pay more.

Google Business Profile

Claim the listing, add twelve photos, your phone number, the exact address with a landmark, and opening hours that reflect check-in times. Ask every happy guest to mention the property by name in their review, because Google matches the name. For a property with a name board on a road that people search, this is the highest-return hour you will spend online.

Instagram, as a shopfront rather than a hobby

Nine posts and you have a page: the exterior, each room, the bathroom, breakfast, the view, the neighbourhood, and one of you doing something ordinary - making tea, fixing a chair. Reels of fifteen seconds of rain on the balcony outperform polished photography for hill properties. Put the phone number in the bio, and answer direct messages the way you answer enquiries.

WhatsApp Business, for the guests you already have

Use the business app for quick replies, a catalogue of rooms with rates, and labels for past guests. A message to last season's guests in the first week of a shoulder month is the cheapest booking you will get all year. Keep it short, personal and specific: the month, the reason to come, the rate for people who have stayed before.

One caution on data. Names, phone numbers and ID details are personal data under India's data protection law, so collect only what you need, tell guests what it is for, and delete what you no longer need. Do not build a marketing list from passport scans.

CHAPTER 36

The older guest is your underserved market

India's domestic travel growth is being driven by families travelling with parents, and almost no small property is built for them. Four changes cost little and widen your market in every off-season month.

1. One ground-floor room with no steps between the car and the bed. If your property is on a slope, say so plainly in the listing so nobody books and then cancels.
2. Grab bars in that bathroom, a shower chair, and a hand shower. These are the difference between a booking and a scroll-past.
3. Lighting that is bright enough to read by, and switches at bed height rather than knee height.
4. Signage in larger type, and a printed card with the Wi-Fi password and your number - not only a QR code.

The national classification checklist treats facilities for differently abled guests as desirable rather than mandatory, which tells you how thin the supply is. A property that does this well gets repeat bookings from the whole family, and the family is the one that decides where everyone stays.

CHAPTER 37

Two modelled properties, month by month

Both of these are models, not real businesses. They exist to show how the numbers move through a year, and what the owner should do differently in month four.

Property A: three rooms, hill town, family living on site

Month	Occupancy	Room-nights	Revenue at Rs. 2,800
January	50%	46	1,28,800
February	55%	46	1,28,800
March	45%	42	1,17,600
April	70%	63	1,76,400
May	85%	79	2,21,200

Month	Occupancy	Room-nights	Revenue at Rs. 2,800
June	80%	72	2,01,600
July	30%	28	78,400
August	35%	33	92,400
September	30%	27	75,600
October	60%	56	1,56,800
November	50%	45	1,26,000
December	70%	65	1,82,000
Year	55%	602	16,85,600

Three months - July, August and September - produce Rs. 2,46,600, or 15 per cent of the year, while still carrying fixed costs of about Rs. 31,000 a month. That is the gap a long-stay product fills. Two monthly bookings in July and August at 55 per cent of ADR would add roughly Rs. 1.3 lakh of revenue at almost no extra cleaning cost, and turn the worst quarter from a loss into a surplus. The owner's second move is in December: at 70 per cent occupancy with no rate uplift, they are leaving money in the market. A 40 per cent Christmas uplift on the last ten days is worth about Rs. 40,000.

Property B: one-bedroom flat, metro city, self check-in

Quarter	Occupancy	Room-nights	Revenue at Rs. 6,500
January to March	52%	47	3,05,500
April to June	38%	35	2,27,500
July to September	40%	37	2,40,500
October to December	50%	45	2,92,500
Year	45%	164	10,66,000

The metro flat's problem is the opposite of the hill property's: it is not seasonal, it is undifferentiated. Nothing in the listing says why this flat rather than the four hundred others in the same postcode. The fix is not a discount, it is a reason - a balcony, a kitchen someone can actually cook in, a desk and a chair that a work traveller will photograph, and a two-night minimum on weekends to protect the weekday rate. At 45 per cent occupancy, ten more nights a quarter is Rs. 65,000 a year, and ten nights is two extra bookings a month.

CHAPTER 38

Year two: what to raise, replace and stop

By month twelve you have data you did not have on day one: your real occupancy, your real cost per stay, your noisiest channel and your three most common guest complaints. Year two is where the business either becomes comfortable or stays a chore.

1. Raise the rate if occupancy held above 65 per cent and your rating is above 4.7. An 8 to 10 per cent increase costs you a couple of bookings and earns more on all the rest.
2. Replace the mattresses and the linen in the rooms that sold most. A mattress has about five years of nightly use; past that, guests feel it before they see it.

3. Stop the channel that costs the most per booking if it delivers less than 15 per cent of your nights. Time spent on a channel is a cost.
4. Add the one amenity guests asked for in reviews. Not the one you find attractive - the one that appears in the sentences.
5. Apply for the higher classification if you are near it. Gold costs Rs. 5,000, lasts two years, and gives you something to print on the listing.
6. Formalise the books: a monthly P&L;, a CA who sees it quarterly, advance tax paid on time. This is the year the business stops being a hobby in the tax department's eyes too.

And decide, deliberately, whether you are running one property well or two properties adequately. The second is how most Indian homestay owners quietly stop enjoying the first.

PART SEVEN

Staffing, worksheets and the words people use

CHAPTER 39

Who does what: staffing a property this small

Three rooms do not need a team. They need one reliable person who is not you, so that a wedding in the family does not become a cancelled booking. Work out the roles before you hire, because most small properties hire a person and hope a role appears.

Role	What it covers	Time per week
Host (you)	Enquiries, pricing, check-in, reviews, compliance, money	12-15 hours
Cleaner	Turnaround between guests, deep clean weekly	6-10 hours at 55% occupancy
Cook or breakfast help	Breakfast service, dishes, kitchen reset	8-12 hours if meals served
Caretaker or manager	Everything above when you are away; keys, guests, emergencies	Full time, or on call

Pay the local market rate and pay it on time by bank transfer, because a cleaner who is paid in cash and irregularly is a cleaner who leaves in the peak month. Ask around your town for the prevailing daily or monthly rate; it varies more between two neighbouring districts than between two states. Build the number into the variable cost per night in Chapter 4 rather than treating it as an occasional expense.

Put the engagement in writing, even for two days a week: what is done, when, what is paid, and who supplies the cleaning materials. Keep the police verification of any staff member who has keys - several state homestay rules ask for it, and every guest who asks about safety will be reassured by it. Social security registration for staff applies at employee thresholds far above a three-room property, but the moment you employ four or five people the question is worth asking your CA, because the answer changes your cost per month.

The hardest part of staffing a homestay is the handover. Write the cleaning sequence from Chapter 23 on a laminated card, keep the seven guest messages in a shared phone, and take your stand-in through one full turnaround before you leave them alone with a booking.

CHAPTER 40

Worksheet: your three numbers

Fill this in before you spend anything. Use your own town's rates, not the examples in Chapter 4. If the net figure is below what your time is worth, you have your answer - and you have saved yourself six months.

Input	Your number	How to get it
Rooms you can let		Count rooms with an attached bathroom and a door that locks
Realistic occupancy		Ask three nearby hosts in the off-season; assume lower

Input	Your number	How to get it
ADR you can hold		Rate of comparable listings, minus 15.5% platform fee
Variable cost per night		Laundry, breakfast, cleaning help, amenities
Fixed costs per year		Utilities, staff, maintenance, insurance, compliance, marketing
Capital to fit out		Quotations, not guesses

Output	Your number	Formula
Room-nights sold		Rooms x 365 x occupancy
Gross booking value		Room-nights x ADR
Payout		Gross x 0.845
Contribution per room-night		(ADR x 0.845) - variable cost
Break-even room-nights		(Fixed + capital per year) / contribution
Net before tax		Payout - variable - fixed - capital per year

Then answer two questions in a sentence each. Which month is your worst, and what will you sell in it? And who runs the property for the two weeks you are away? If either answer is blank, the model is not finished.

CHAPTER 41

Worksheet: your compliance file

One folder, physical or cloud, in this order. An inspector, a bank and a platform can each ask for a different part of it, and all three lose patience with a search.

Document	Have it	Renew by
State homestay or B&B; registration certificate		Two or three years, state-dependent
Municipal or panchayat trade licence		Annual, local schedule
Fire NOC, if applicable		One to two years
FSSAI registration or licence		Annual, or multi-year
GST registration certificate, once applicable		No renewal; file monthly or quarterly
NIDHI+ registration confirmation		No renewal
Police clearance on owner antecedents		As required by the state
Society or landlord written permission		For the life of the agreement
Property insurance with commercial use disclosed		Annual
Staff police verification and engagement letters		On hiring
Guest register, current year		Retain one year minimum
Form III filings and departure reports		Retain one year minimum

Photograph every certificate and keep the images in one folder named for the year. When a platform asks for a licence number, you will have it in ten seconds rather than ten days - and a listing suspended for a missing document loses its ranking when it comes back.

CHAPTER 42

Worksheet: your twelve-month rate card

Set the whole year at once, three months ahead, so peak dates are never accidentally open at the standard rate. Write the band, not just the number: it is easier to hold a rule than a figure.

Month	Band	Rate per night	Minimum stay
January			
February			
March			
April			
May			
June			
July			
August			
September			
October			
November			
December			

Fill the bands from Chapter 19: peak, high, standard, low. Then write your floor rate - the number you will not go below in any month, for any guest - on a sticky note and keep it where you take bookings. Every host who has ever regretted a discount regretted it at the moment they broke their own floor.

CHAPTER 43

The words this business uses

Term	What it means in practice
ADR	Average daily rate: room revenue divided by room-nights sold
Occupancy	Room-nights sold as a percentage of room-nights available
RevPAR	Revenue per available room-night: ADR multiplied by occupancy
Subtotal	Nightly rate plus your cleaning and extra-guest fees, before taxes
Form III	The 24-hour report on a foreign guest, formerly Form C, filed on indianfrro.gov.in
NIDHI+	The Ministry of Tourism's registry of hospitality units, including homestays
Classification	Silver or Gold grading under the Incredible India homestay standards
ITC	Input tax credit: GST paid on inputs, set off against GST on sales. Not available at the 5% accommodation rate
TCS	Tax collected at source by a platform on your payouts, credited against your income tax

Term	What it means in practice
Presumptive tax	Declaring a fixed percentage of turnover as profit instead of keeping full accounts; Section 58 of the Income-tax Act, 2025
MUDRA	Collateral-free micro-enterprise loans up to Rs. 20 lakh, in four categories
Turnaround	The clean between one guest leaving and the next arriving
Direct booking	A booking you take without a platform, and without a commission

That is the whole vocabulary. Nothing in this business needs a term you cannot explain to your neighbour in one sentence - and if a consultant uses one you cannot, ask them what it means in rupees.

CHAPTER 44

Twelve listing lines that lose bookings

Listing copy fails for one reason: it describes the property to the owner instead of the stay to the guest. Rewrite each line on the left into something a stranger can act on.

What owners write	What books the room
Beautiful, cosy, peaceful home	Two bedrooms, balcony facing the valley, no road noise after 9 pm
Located in the heart of the city	8 minutes' walk to Marine Drive, 2 km from Churchgate station
Fully equipped kitchen	Gas stove, fridge, mixer, pressure cooker, and a kettle in the room
Close to all attractions	12 minutes by car to the temple, 25 to the lake, 40 to the airport
Family friendly	One room with two single beds, a cot on request, and a fenced garden
Free parking available	One covered car space inside the gate, plus street parking for a second car
Fast internet	120 Mbps fibre, tested at the desk; good enough for video calls
Homely food on request	Breakfast included: poha, parathas or eggs, 8 to 10 am. Lunch and dinner by arrangement
Peaceful hill retreat	At 1,800 m; the last 2 km is a narrow road, so arrive before dark
Luxury amenities	Air conditioning in both rooms, geyser, RO water, fresh linen every third day
Great for couples	Best for two; the second room has twin beds for children
Host available 24/7	I live on the ground floor and reply within an hour, 7 am to 11 pm

The pattern is the same in every row: a number, a distance, a time, or a specific object. Adjectives cannot be verified, so guests discount them to zero. Specifics can be checked on arrival, which is why they convert - and why they produce five-star reviews instead of arguments.

CHAPTER 45

Ten questions to ask your state tourism office

Every state runs its own scheme, and the person at the counter knows things the website does not. Call before you file, ask these ten, and write the answers down with the name of whoever gave them.

1. What is the room cap for a homestay in this state, and does the family have to live on the premises?
2. Which documents do you need from me, and which of them must be attested?
3. Is there a fee, and is it one-time or annual? How do I pay it?
4. How long does approval take after a complete file, and who inspects?
5. Does the certificate have a validity period, and how do I renew it?
6. Is a trade licence from the municipality or panchayat required separately?
7. At how many rooms or floors does a fire NOC become mandatory?
8. Are there any state incentives - capital subsidy, interest subsidy, electricity tariff - and what disqualifies an application?
9. Does the state require police intimation for every guest, or only for foreign nationals?
10. Is there a state portal or list where registered homestays are promoted, and how do I get on it?

Two answers change your business model more than the rest. The room cap decides whether your property is a homestay or a hotel, and the incentive question decides whether your capital plan needs a subsidy or a loan. Get both in writing before you order furniture.

CHAPTER 46

What to hand your CA every quarter

A chartered accountant charges by the hour to reconstruct what you should have kept. Four times a year, send one folder with these eight things, and the annual filing becomes routine instead of forensic.

1. Bank statement for the business account, for the quarter.
2. Platform payout statements, downloaded from each channel's dashboard, not screenshots.
3. Your sales invoices, numbered sequentially, including the GST shown separately where you are registered.
4. Expense bills above Rs. 1,000 - linen, repairs, staff payments, utilities.
5. Capital expenditure receipts, kept apart from running costs.
6. A one-line summary of the guest register: room-nights sold, and any foreign guests with Form III filed.
7. TDS or TCS certificates issued by the platforms.
8. Any notice from a tax authority, immediately and unedited.

The reason to be disciplined about this is not the tax. It is that a homestay with clean books can borrow - from a bank for the second property, or against the first - and a homestay with a shoebox cannot. The MUDRA file in Chapter 14 is decided by exactly this folder.

CHAPTER 47

Every number in this book, on one page

Print this page and keep it where you take bookings. Each figure is explained, with its source, in the chapter named.

Figure	Number	Chapter
Rooms in a homestay or B&B; classification	1 to 6, maximum 12 beds	2, 8
Ministry of Tourism classification fee	Rs. 3,000 Silver, Rs. 5,000 Gold	8
Classification validity	2 years; renew 3 months before expiry	8
Minimum room area, plains	120 sq ft Silver, 200 sq ft Gold	8
Minimum room area, hills	100 sq ft Silver, 120 sq ft Gold	8
Minimum bathroom area	30 sq ft Silver, 40 sq ft Gold	8
GST on accommodation up to Rs. 7,500 a unit a day	5%, without input tax credit	10
GST on accommodation above Rs. 7,500 a unit a day	18%, with input tax credit	10
GST registration threshold, services	Rs. 20 lakh; Rs. 10 lakh in special category states	10
FSSAI registration fee up to Rs. 1.5 crore turnover	Rs. 100 a year	11
FSSAI state licence	Rs. 2,000 to Rs. 5,000 a year by kind of business	11
Foreign guest reporting deadline	24 hours, Form III	12
Penalty for late or missing Form III	Rs. 50,000 per case	12
Guest records retention	At least 1 year, electronic	12
Presumptive tax turnover ceiling	Rs. 2 crore; Rs. 3 crore if cash receipts are 5% or less	15
Presumptive deemed profit	6% digital receipts, 8% other	15
MUDRA loan ceiling	Rs. 20 lakh, collateral-free	14
Airbnb host service fee	15.5% of the subtotal	20
Booking.com commission	Set in your contract, not published	20
Domestic tourist visits, 2025	428.69 crore	1
Foreign tourist arrivals, 2025	91.5 lakh	1
Homestay market size, 2024	Rs. 4,722 crore, 11% CAGR to 2031	1

Two of these will change within a year of this edition - the GST rate and the platform fee are the usual suspects - and the rest are stable enough to plan against. Check the government source in Chapter 31 before you rely on any of them in a filing.